

2. Recency bias can cause investors to ignore fundamental *value* and to focus only on recent upward price performance. When a return cycle peaks and recent performance figures are most attractive, human nature is to chase promise of a profit. Asset classes can and do become overvalued. By focusing only on price performance and not on valuation, investors risk principal loss when these investments revert to their mean or long-term averages.
3. Recency bias can cause investors to utter the words that many market veterans consider the most deceptive and damning of all: "It's different this time." In 1998 and 1999, for example, the short-term memory of recent gains influenced some investors so strongly as to overrule, in their minds, historical facts regarding rational valuations and the bubbles, peaks, and valleys that naturally occur. If your client ever seems to be yielding to this rationale, then it is time for a reality check.
4. Recency bias can cause investors to ignore proper asset allocation. Professional investors know the value of proper asset allocation, and they rebalance when necessary in order to maintain proper allocations. Recency bias can cause investors to become infatuated with a given asset class that, for example, appears in vogue. They often concentrate their holdings accordingly. Proper asset allocation is crucial to long-term investment success.

The recency effect is captured by giving the geometric 10-year annual price return a weight of 0.25 in the model. The two models are compared in Figures 16.1 and 16.2. Figure 16.1 shows the absolute level of expectations. The rational model shows that investors should expect no more than 5 percent real returns over the long run. Montier's irrational model shows that investors are looking for a return of over 8 percent annually in the long run.

Figure 16.2 shows the measure of the scope for disappointment. This is calculated as the difference between the irrational and rational models. The graph shows the irrational pessimism that gripped the market in the 1970s and early 1980s.

DIAGNOSTIC TESTING

These questions are designed to detect cognitive errors stemming from recency bias. To complete the test, select the answer choice that best characterizes your response to each item.